

1.1.6 Externalities	External costs of production a) Definition of external costs. b) Examples of external costs, including pollution, congestion and environmental damage. External benefits of consumption c) Definition of external benefits. d) Examples of external benefits, including education, healthcare and vaccinations. e) Definition and formula for: • $\text{social costs} = \text{private costs} + \text{external costs}$ • $\text{social benefits} = \text{private benefits} + \text{external benefits}$.
---------------------	---